SUPREME COURT · JUDGMENT DIGEST

# Himadri Steel Pvt. Ltd. *v.* Jharkhand Urja Vikas Nigam Limited & Ors.

Special Leave Petition (Civil) No. 33179 of 2025 | 2026 INSC 851 : 2026 SCC OnLine SC 1563 | Supreme Court of India | Decided 12 August 2026

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| COURT | Supreme Court of India |
| CORAM | Hon'ble Mr. Justice Aravind Kumar & Hon'ble Mr. Justice Vipul M. Pancholi (judgment of the Court delivered by Aravind Kumar, J.) |
| DATE OF JUDGMENT | 12 August 2026 (SCC Online print records "Decided on August 12, 2026"; neutral citation 2026 INSC 851. Although instituted as a Special Leave Petition, the operative paragraph speaks of "allowing this Appeal" (¶ 38).) |
| NATURE OF PROCEEDING | Special Leave Petition (Civil) under Article 136 of the Constitution by an HT electricity consumer against the judgment dated 08.08.2025 of a Division Bench of the High Court of Jharkhand in L.P.A. No. 648 of 2018, which had set aside the Single Judge's order dated 05.09.2018 in W.P. (C) No. 6054 of 2017 quashing a provisional assessment order for alleged theft of electricity. |
| PARTIES | Himadri Steel Pvt. Ltd. (petitioner; HT consumer under HTSS tariff, contract demand 3000 KVA) *v.* Jharkhand Urja Vikas Nigam Limited and others (respondents; distribution licensee and its officers) |
| PROVISIONS | Electricity Act, 2003: Sections 125 (as cited in the assessment order), 126 (incl. Explanation (b)), 127, 135 (incl. sub-section (1A) and provisos), 137, 138, 154(5)–(6); Jharkhand (Electricity Supply Code) Regulations, 2015: Clauses 11, 11.3, 11.8, 11.10, 11.12, 11.14, 11.17, 11.24, 11.28; Indian Penal Code, 1860: Sections 24, 353, 379, 420; Bharatiya Nyaya Sanhita, 2023: Section 2(7); Constitution of India: Article 226 |
| RESULT | **Allowed.** Division Bench order in L.P.A. No. 648 of 2018 set aside; Single Judge's order dated 05.09.2018 in W.P. (C) No. 6054 of 2017 (quashing the provisional assessment order of Rs. 3,23,71,524/-) restored; no order as to costs. |

## POINT FOR DETERMINATION

1. Whether the remedy of a writ petition was available to the petitioner when statutory remedies are available under the Electricity Act, 2003 (¶ 16(a)).
2. Whether the petitioner is liable to be held accountable under Section 135 of the Electricity Act, 2003 — i.e., whether the ingredients of Section 135 are satisfied on the facts (¶ 16(b)).

## FACTS

The petitioner, a private limited company, held an HT connection under the HTSS (High Tension Special Service) tariff with contract demand of 3000 KVA, energised on 03.07.2006. After a blast in the cubical metering unit, the breakdown was rectified on 16.06.2017 by the respondent Nigam's officials, whose report recorded that the metering chamber was slightly damaged, the K-phase CT and all PTs were OK, the meter reading was correct with proper sealing, and a totally cracked b-phase CT was replaced (¶ 1).

On 26.09.2017 the authorities inspected the check meter and metering cubical and prepared an inspection report. That report noted that the cubical was housed under a metal-sheet room making the CT/PT easily approachable, that the nut carrying the GPC seal was found welded at mid-point, two holes in the meter chamber, and that the meter-chamber cover opened easily; it concluded "Further action will be as per norms." Its remarks recorded that there was no welding on the nut, the old cubical had blasted earlier and been twice repaired, the door could not be opened without opening the plastic seal, all plastic (paper) seals were found correct, and a joint inspection was recommended (¶¶ 2, 30).

On the written report of the Assistant Electrical Engineer, Chakulia PS Case No. 30/2017 was lodged under Sections 379/420/353 IPC and Sections 135/137/138 of the Electricity Act, 2003; the connection was disconnected the next day (27.09.2017). On 29.09.2017 a Provisional Assessment Order was issued determining a liability of Rs. 3,23,71,524/- towards loss due to theft of electricity (¶¶ 3–5, 15).

The petitioner's W.P. (C) No. 6054/2017, alleging illegal disconnection on mere suspicion in breach of the Act and Clause 11.12 of the Jharkhand (Electricity Supply Code) Regulations, 2015, was allowed by the Single Judge on 05.09.2018, holding that the inspection report disclosed no conclusive evidence of theft. On 08.08.2025 the Division Bench allowed the Nigam's LPA No. 648/2018, holding that the report disclosed sufficient material, that the Act is a complete code, and that the writ petition was not maintainable given the alternative remedy (¶¶ 5–7).

## THIS COURT'S REASONING & HOLDING

> **HEADNOTE**
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> Since Section 127 of the Electricity Act, 2003 provides a statutory appeal only against a final order of assessment and not against a provisional order, a writ petition under Article 226 against a provisional assessment order is maintainable; and though not explicitly mentioned, Section 127 applies as much to Section 135 as to Section 126, because all theft of electricity falls within unauthorised use. Section 135 is a criminal provision requiring actus reus and mens rea ("whoever dishonestly") proved beyond reasonable doubt. To sustain a provisional assessment for theft, the inspection report must itself record that theft was detected and the details of the evidence collected, so that theft is apparent on a bare reading; suspicion, however strong, cannot take the place of strict proof. An inspection report containing no allegation or evidence of theft, followed by no seizure as required by Clause 11.8 of the 2015 Regulations, cannot sustain the assessment, and "protection of revenue" is no justification. The Division Bench order was set aside and the Single Judge's order quashing the provisional assessment restored.

**General rule of alternative remedy is not absolute.** The Court stated the general law that where statutory remedies exist the aggrieved party will not ordinarily move the High Court, but that the position is not free of exceptions and the availability of a statutory remedy does not oust the High Court's jurisdiction under Article 226; it then drew on *Southern Electricity Supply Co. of Orissa Ltd. v. Sri Seetaram Rice Mill* for that proposition (framework reproduced in Interpretation below). ¶ 18

**Theft is a subset of unauthorised use; the Section 127 procedure extends to Section 135 cases.** The Court reasoned that the concepts of "provisional order of assessment" and "final order" are found in the Section 126/127 scheme and that Section 135 has no separate procedure; yet the Section 127 procedure applies because "all acts of unauthorised use of electricity are not theft, but all cases of 'theft of electricity' fall under the unauthorised use of electricity" (illustrated by a Venn diagram). It found support for this in *W.B. State Electricity Distribution Co. Ltd. v. Orion Metal (P) Ltd.* ¶ 19–20

**Writ petition against a provisional assessment order is maintainable (Issue (a)).** The Court held that "though not explicitly mentioned, Section 127 applies as much to Section 135 as it does to Section 126"; that the statutory appeal under Section 127 lies only against a final order of assessment and not a provisional order; and that, since the Act provides no statutory appeal against a Provisional Assessment Order, the writ petition against it is maintainable. The Division Bench's contrary view on alternative remedy therefore did not stand. ¶ 21

**Section 135 is a criminal provision demanding actus reus, mens rea and proof beyond reasonable doubt.** Section 135 falls in Part XIV (Offences and Penalties); to invoke it the State must satisfy the twin tests of actus reus and mens rea and prove the offence beyond reasonable doubt, so the threshold is high. It is distinct from Section 126, which is a civil remedy covering consumption in variation of the terms and conditions of supply, where mens rea is not a vital element. ¶ 24

**"Whoever dishonestly" imports mens rea; the actus reus is the listed physical acts.** The opening words of Section 135 indicate that mens rea must be present. The Court read "dishonestly" by reference to Section 24 IPC and Section 2(7) BNS, 2023 (doing anything with intention of causing wrongful gain or wrongful loss). The actus reus is tapping connections or cables, tampering a meter, damaging the meter or apparatus, using electricity through a tampered meter, or using it for an unauthorised purpose. Under Section 135(1A) the authorised officer may disconnect only if satisfied that theft has occurred, but the starting point is an inspection. ¶ 25–26

**Procedure under Section 135 read with the 2015 Regulations.** Reading Section 135 with Clauses 11.3, 11.8, 11.10, 11.12, 11.14, 11.17 and 11.28 of the Jharkhand (Electricity Supply Code) Regulations, 2015, the Court distilled the sequence: (a) inspection; (b) disconnection where sufficient evidence establishes direct theft; (c) removal and seizure of the meter; (d) provisional assessment order; (e) objections; (f) final assessment order; (g) restoration within 48 hours on deposit of the assessed amount. In suspected (as opposed to direct) theft, Clause 11.12 requires the old meter to be removed under seizure memo and supply continued with a new meter. ¶ 27–29

**The inspection report disclosed no allegation or evidence of theft — at best suspicion.** Accepting the petitioner's objections (the cubical was installed by the respondents in open space and merely covered with a metal sheet against sun and rain, periodically inspected without objection and with seals intact; and nothing was seized), the Court found the report "does not have even a whiff of allegation of theft of electricity, much less the evidence". At best there was suspicion, on which alone the FIR was registered. It endorsed the Single Judge's view that many people cover metering units to protect them, and held the minor discrepancy alleged insufficient to prove theft, which must meet the strict standards of criminal law. ¶ 31–32

**Suspicion cannot replace strict proof; no evidence elevated the discrepancies to an offence.** On a thorough perusal of the record, not a single shred of evidence was produced by the State that would allow the alleged discrepancies to be elevated to the level of an offence. ¶ 33

**What an inspection report must contain to sustain a theft-based provisional assessment.** Theft must first be detected in the course of inspection; the report must reveal that theft was detected and record details of the evidence. Only if the report records a finding of theft and details of evidence "which unerringly disclose theft of electricity" can the provisional assessment be sustained; the finding must be apparent on a bare reading. If the basis of theft cannot be

construed on a bare reading, a thorough investigation is required, and the inspecting officer cannot visit penalties on the consumer on a provisional report "that has no legs to stand on". Here the report noted no details or evidence of theft and there was no subjective satisfaction of the authorised officer. ¶ 34

**Application: seals intact; easy accessibility does not prove mens rea.** As the Single Judge rightly recorded, a bare reading of the report does not show theft: it records that the door could not be opened without opening a plastic seal and that all plastic seals were correct and intact; that the meter chamber was easily accessible "by itself does not prove mens rea". ¶ 35

**Breach of Regulation 11.8 — no seizure of material evidence.** Regulation 11.8 requires seizure of all material evidence including wires, cables, meters and service lines; neither the inspection report nor the written report disclosed any seizure from the consumer's premises, a further violation. ¶ 36

**"Protection of revenue" rejected as a justification.** The respondents' plea that the assessment and disconnection were to protect the State's revenue was rejected at the threshold: accepting it would open floodgates of arbitrary disconnections on vague reports not satisfying the essentials of Section 135, turning the provision into an abuse of process of law. ¶ 37

**Division Bench erred; Single Judge restored.** The Division Bench was in error in setting aside the well-reasoned order of the Single Judge; its order in L.P.A. No. 648 of 2018 was set aside and the Single Judge's order dated 05.09.2018 in W.P. (C) No. 6054 of 2017 restored. ¶ 38

## FRAMEWORK APPLIED — STATUTORY TEXT AND EARLIER SUPREME COURT AUTHORITY REPRODUCED

### ELECTRICITY ACT, 2003 — WRIT MAINTAINABILITY AGAINST PROVISIONAL ASSESSMENT; UNAUTHORISED USE V. THEFT; STATUTORY TEXT AND SUPREME COURT FRAMEWORK REPRODUCED

#### Sections 126, 127 and 135 of the Electricity Act, 2003

Statutory text, extracted at ¶ 14: Section 126(1) empowers the assessing officer who "comes to the conclusion" on inspection that a person is indulging in unauthorised use to provisionally assess charges; Section 126(3) provides for objections and a final order within thirty days; Section 126(5)–(6) fix the period and a rate of twice the applicable tariff; Explanation (b) defines "unauthorised use of electricity" (artificial means, unauthorised means, tampered meter, unauthorised purpose, unauthorised premises). Section 127 provides an appeal against the final order under Section 126 on deposit of half the assessed amount. Section 135(1) punishes "whoever, dishonestly" does the acts in clauses (a)–(e); Section 135(1A) permits immediate disconnection "upon detection of such theft", with a complaint to police within 24 hours and restoration within 48 hours of deposit. The Court noted that Sections 126–127 sit in Part XII (Investigation and Enforcement) and Section 135 in Part XIV (Offences and Penalties). ¶ 13–14

#### SUPREME COURT Writ jurisdiction despite alternative remedy — *Seetaram Rice Mill*

Per the Supreme Court in *Southern Electricity Supply Co. of Orissa Ltd. v. Sri Seetaram Rice Mill*, (2012) 2 SCC 108, reproduced at ¶ 18 (paras 80, 81, 87): the High Court would not normally interfere under Article 226 where a statutory alternative remedy exists, but this is not free of exceptions — e.g. pure questions of law or vires; such cases should be heard by courts only where they involve primary questions of jurisdiction or matters going to the root of jurisdiction, merits of assessment being for the specialised authorities; only a final order of assessment under Section 126(3) is

appealable under Section 127, a notice-cum-provisional assessment under Section 126(2) is not; and the High Court should normally decline to interfere with a final assessment order under Section 126(3). ¶ 18

### SUPREME COURT Theft falls within unauthorised use; Section 126 assessment available even in theft cases — *Orion Metal*

Per the Supreme Court in *W.B. State Electricity Distribution Co. Ltd. v. Orion Metal (P) Ltd.*, (2020) 18 SCC 588, reproduced at ¶ 20 (paras 12–13): use through a tampered meter is within "unauthorised use"; "All instances of unauthorised use of energy may not amount to theft … but at the same time, the theft of electricity which is covered by Section 135 … will fall within the definition of unauthorised use of electricity"; authorities may make provisional and final assessment under Section 126(1) even where electricity is used by way of theft; and the Special Court's power to determine civil liability under Section 154(5)–(6) does not negate the Section 126 assessment power. ¶ 20

### SUPREME COURT Section 126 civil v. Section 135 criminal — *Seetaram Rice Mill*

Per the Supreme Court in *Seetaram Rice Mill*, reproduced at ¶ 22 (paras 25–30): Section 135 opens with "whoever, dishonestly", falls within criminal jurisprudence and mens rea is a relevant factor; Section 126 applies where there is no theft but consumption in violation of terms of supply, does not speak of criminal intendment and is a civil remedy; excess load over installed load is a Section 126 case, while dishonest abstraction such as a direct connection bypassing the meter is a Section 135 case; the two "operate in different and distinct fields". ¶ 22

### SUPREME COURT Sections 126–127 as a code — *Kerala SEB v. Thomas Joseph*

Per the Supreme Court in *Kerala SEB v. Thomas Joseph*, (2023) 11 SCC 700, reproduced at ¶ 23 (paras 60.1–60.5): Sections 126 and 127 "become a code in themselves"; Section 126 covers situations other than those specifically covered by Section 135, aims at stopping unauthorised use and preventing revenue loss; overdrawal is prejudicial to the public; and "unauthorised use of electricity" is of wider connotation, to be construed purposively. ¶ 23

### Jharkhand (Electricity Supply Code) Regulations, 2015 — Clause 11

Regulatory text, summarised at ¶¶ 27–28: Clause 11.3 (inspection on reliable information); 11.8 (on sufficient evidence of direct theft, disconnect, seize all material evidence and lodge a police complaint within 24 hours); 11.10 (assessment order by the Authorised Officer); 11.12 (in suspected theft, remove and seal the old meter under seizure memo and continue supply with a new meter); 11.14 (if a prima facie case of dishonest abstraction is made out after examining evidence and consumption pattern, serve a provisional assessment with show-cause notice within 7 days); 11.17 (objections and final order after hearing); 11.28 (restoration within 48 hours of deposit). ¶ 27–28

> **RATIO DECIDENDI**
>
> (1) Section 127 of the Electricity Act, 2003 provides a statutory appeal only against a final order of assessment, not a provisional one; it applies to Section 135 cases as much as to Section 126 cases (theft being a species of unauthorised use); hence a writ petition under Article 226 against a provisional assessment order is maintainable. (2) Section 135 being a criminal provision requiring actus reus and mens rea ("whoever dishonestly") proved beyond reasonable doubt, a provisional assessment for theft can be sustained only if the inspection report itself records that theft was detected and the details of evidence collected that unerringly disclose theft, apparent on a bare reading; an inspection report showing at best suspicion — with seals intact and no seizure under Clause 11.8 of the 2015 Regulations — cannot sustain the assessment.

## ALSO HELD & OBITER

- **Suspicion is no substitute for proof.** The Court observed: “Suspicion, no matter how strong, cannot take the place of strict proof.” (¶ 33)
- **Revenue protection cannot justify vague-report disconnections.** Rejecting the revenue-protection plea, the Court warned that accepting it “will open floodgates of cases where the inspecting authority will be get arbitrary powers to disconnect electricity of the consumers on the basis of vague reports”. (¶ 37)
- **Covering a metering unit is common practice.** Endorsing the Single Judge, the Court noted that “as a matter of practice, many people cover their metering unit to protect it from depreciation.” (¶ 32)
- **Where theft is not apparent from the report, investigation is needed.** The Court observed that if the basis of theft cannot be construed on a bare reading of the report, “a thorough investigation would be required to ascertain whether theft took place or not”. (¶ 34)

> **DISPOSITION**
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> The Order of the Division Bench rendered in L.P.A. No. 648 of 2018 is **set aside** and the Order of the Single Judge dated 05.09.2018 passed in W.P. (C) No. 6054 of 2017 (quashing the Provisional Assessment Order of Rs. 3,23,71,524/-) is **restored**, “by allowing this Appeal with no order as to costs”. Pending applications, if any, stand disposed of (¶ 38).

## SIGNIFICANCE

A consumer-protective ruling on theft-based assessments under the Electricity Act, 2003, addressing both the forum question and the evidentiary threshold:

- **Writ lies against a provisional assessment.** Because Section 127 appeals lie only against final assessment orders, a consumer may challenge a provisional assessment order directly under Article 226; the “complete code” / alternative-remedy objection does not bar such a writ (¶ 21).
- **Section 127 extended to theft cases.** The Court held that, though not explicitly mentioned, Section 127 applies to Section 135 as much as to Section 126, since all theft of electricity is a subset of unauthorised use (¶¶ 19–21).
- **High evidentiary threshold for theft.** Section 135 requires actus reus and mens rea proved beyond reasonable doubt; easy accessibility of a meter chamber, with seals intact, does not prove mens rea (¶¶ 24–25, 35).
- **The inspection report must itself record detection and evidence of theft.** A theft-based provisional assessment survives only if the inspection report records detection of theft and details of evidence unerringly disclosing it, apparent on a bare reading, together with the authorised officer’s satisfaction; vague formulae such as “further action will be as per norms” do not suffice (¶¶ 30, 34).
- **Supply Code procedure is enforceable.** Non-seizure of material evidence in breach of Clause 11.8 of the Jharkhand Supply Code Regulations, 2015 was treated as a further vitiating factor; the Court set out a seven-step procedure under Section 135 read with the Regulations (¶¶ 29, 36).
- **Revenue protection is no defence to arbitrary disconnection.** The licensee’s plea of protecting revenue was rejected at the threshold as one that would turn Section 135 into an abuse of process (¶ 37).

## TABLE OF AUTHORITIES

Authorities discussed in the judgment, with the treatment each received. ***Relied on*** and ***Followed*** reflect the Court's own characterisation or use of each authority. Statutory definitions referred to (Section 24 IPC; Section 2(7) BNS, 2023) are not listed as authorities.

| AUTHORITY | PROPOSITION & HOW TREATED | TREATMENT |
|---|---|---|
| ***Southern Electricity Supply Co. of Orissa Ltd. v. Sri Seetaram Rice Mill***<br>(2012) 2 SCC 108 · Supreme Court of India | The High Court would not normally interfere under Article 226 where a statutory alternative remedy exists, but this is not an absolute bar (e.g. questions of law, vires, matters going to the root of jurisdiction); only a final order of assessment under Section 126(3) is appealable under Section 127, a provisional assessment is not. Section 126 is a civil remedy without mens rea, while Section 135 is criminal, opening with "whoever, dishonestly"; the two operate in distinct fields. | Relied on |
| ***W.B. State Electricity Distribution Co. Ltd. v. Orion Metal (P) Ltd.***<br>(2020) 18 SCC 588 : (2021) 3 SCC (Cri) 661 · Supreme Court of India | Use through a tampered meter is unauthorised use; all unauthorised use may not be theft, but theft under Section 135 falls within unauthorised use; authorities may make provisional and final assessment under Section 126(1) even in theft cases; the Special Court's civil-liability power under Section 154(5) does not negate the Section 126 power. | Followed / relied on |
| ***Kerala SEB v. Thomas Joseph***<br>(2023) 11 SCC 700 · Supreme Court of India | Sections 126 and 127 become a code in themselves; Section 126 covers situations other than those specifically covered by Section 135, aims at stopping unauthorised use and preventing revenue loss; "unauthorised use of electricity" is of wider connotation, to be construed purposively. | Referred to / relied on |

*This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.*